PENNINGTON INDUSTRIES LIMITED

(Company number 02844917)

MINUTES OF A MEETING OF THE BOARD OF DIRECTORS

Date: 28 April 2025

Time and place: 10.00 a.m., Pennington House, Birmingham (and by video link)

Present: Richard Pennington (Chair / CEO); Grace Underwood (Group Finance Director); Yvette Marsh (HR Director); Naomi Patel (Company Secretary, in attendance)

In attendance: Tom Gallagher, Whitfield Carter LLP (by video link)

1. Quorum and notice

The Chair noted that a quorum was present and that the meeting had been duly convened. There were no declarations of interest beyond the matter under consideration.

2. Garrety settlement

The Board considered the proposed agreed exit of Mr David Garrety, Group HR & Operations Director, following his grievance of 6 February 2025 and the consolidation of the HR and operations functions. Mr Gallagher summarised the legal position and the negotiated terms.

The Board noted that the agreed package, recorded in a settlement agreement under section 203 of the Employment Rights Act 1996, comprised:

(a) a payment in lieu of 12 months' notice of £148,000 gross;

(b) a statutory redundancy payment of £9,330;

(c) an ex-gratia compensation payment of £95,000 (first £30,000 paid tax-free);

(d) a legal-fees contribution of £2,500 plus VAT and outplacement support up to £5,000 plus VAT;

(e) an agreed reference, mutual confidentiality and reaffirmed 9-month post-termination restrictions.

The Board noted that the total cost to the Company (excluding accrued holiday and employer's NIC) was approximately £259,830, which was within the authority of up to £270,000 previously discussed and below the Company's assessed litigation exposure.

3. Resolutions

IT WAS RESOLVED that:

(f) the settlement agreement with Mr David Garrety, in the form tabled, be and is hereby approved;

(g) the Chief Executive be authorised to sign the settlement agreement and any ancillary documents on behalf of the Company; and

(h) the Company Secretary be instructed to make the necessary payroll and pension arrangements to give effect to the settlement.

4. Close

There being no further business, the meeting was closed.

Signed as a correct record:

..... Richard Pennington, Chair